nationalized. Nothing happened. Parekh was disappointed but never gave up on his idea. HUDCO itself took the stand that multiplicity of agencies was inadvisable as the environment was not ripe enough. It was argued, erroneously, that a new institution was unnecessary as it would duplicate already existing physical infrastructure. The fallacy of this view lay in a narrow perception of the role and functions of specialized institutions in promoting developmental activity, particularly in a large and populous country like India.

Sometime later, Parekh was invited to attend a meeting of heads of banks and financial institutions called by Prime Minister Indira Gandhi. Here was a golden opportunity to be heard by those who mattered. Parekh pointed out that housing finance had thus far been neglected by banks in India. He said that it was ironic that houses in West Asia were being built using Indian steel and cement, when the country itself was faced with an acute shortage of housing. Parekh lamented the fact that this had not attracted the attention of policy makers in India, and that nothing was being done to supply this deficiency.

This time Parekh's vigorous advocacy did not fall on deaf ears. The very next day, he got a telephone call from G.V. Kapadia, Chairman of the General Insurance Corporation of India (GIC), who told Parekh that he had noted Parekh's constructive suggestion at the meeting the previous day, and that the GIC would be happy to support any initiative in this direction. Encouraged by this positive response, Parekh had a feasibility report prepared. He also compiled a list of companies and institutions that could afford to contribute a modest capital for the proposed institution. Parekh was confident that he would be able to raise the targeted initial equity capital of ₹10 crores.

In March 1977, the Congress regime had been replaced by the Janata government. Parekh went to New Delhi to meet H.M. Patel, the new Finance Minister. He told Patel that he had come to him not for any financial help but for the new government's support, in principle, for the setting up of a housing finance institution. Patel told Parekh, 'What are you waiting for, go ahead, it is a good idea.'[1] HDFC was formally registered on October 17 and H.M. Patel formally launched the new institution on October 22, 1977, (Dussehra day) at a function in Bombay. Even though the